

BEFORE THE
FEDERAL MARITIME COMMISSION

Docket No. 09-01

MITSUI O.S.K. LINES, LTD.,

COMPLAINANT,

v.

GLOBAL LINK LOGISTICS, INC.; OLYMPUS PARTNERS, L.P.;
OLYMPUS GROWTH FUND III, L.P.; OLYMPUS EXECUTIVE FUND, L.P.; LOUIS J.
MISCHIANI; DAVID CARDENAS; KEITH HEFFERNAN;
CJR WORLD ENTERPRISES, INC.; and CHAD J. ROSENBERG,

RESPONDENTS.

**RESPONDENT AND CROSS COMPLAINANT GLOBAL LINK LOGISTICS, INC.'S
RESPONSE TO MITSUI O.S.K. LINES, LTD.'S EXCEPTIONS**

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Pursuant to 46 C.F.R. 502.227, Global Link Logistics, Inc. ("Global Link") files its Opposition to the Exceptions asserted by Mitsui O.S.K. Lines Ltd. ("MOL") to the Administrative Law Judge's Initial Decision of July 9, 2013 ("I.D."). MOL's Exceptions are unfounded as a matter of fact, law and policy. Accordingly, they must be rejected.

Summary of Case

In MOL's Exceptions to the I.D., it begins with a purported summary of the case. Unbounded by the need to cite actual evidence in the record supporting its argument, and thus untethered by the facts, MOL attempts to spin a compelling yarn. Its summary, however, is pure fiction. Quite simply, the facts in evidence of MOL's knowledge and complicity in the split routing at issue -- including MOL's own belated admissions in its Reply Brief -- are so voluminous that the Administrative Law Judge ("ALJ") ALJ did not even feel the need to specifically address most of it. The I.D.'s conclusion that MOL cannot state a claim for fraud

when it knowingly and willingly engaged in the split routing at issue is amply supported by the facts in the record and the law.

MOL's legal argument, that the actions and knowledge of MOL's senior executives should not be attributed to MOL, is spurious. MOL suggests that the ALJ erred in relying upon a Second Circuit authority because it is contrary to other federal circuit authority in construing the "adverse interest" exception. This argument is patently incorrect, as federal circuits addressing the issue, as well as the Commission itself, uniformly recognize that the adverse interest exception is an exceedingly narrow one that must be strictly construed so as not to swallow the fundamental principle that corporations are bound by the acts of their employees whom they delegate to act on their behalf. MOL's suggestion that the Commission does not recognize the concept of apparent authority is equally baseless.

The simple truth is that the Commission need not even address the adverse interest exception in affirming the I.D., not only because the exception does not apply when the actions are taken by senior executives of the company, but also because the overwhelming evidence establishes that not only did Paul McClintock, MOL's Vice President with nationwide sales authority, and Rebecca Yang, its Regional Sales Manager with primary responsibility for the Global Link account, actively encourage split routing (over a period of many years) but at least a dozen other employees were aware of, and participated in, the practice, as well. GLL App. at 129-30, 132-33, 137-38, 205-296, 297-360, 361-60, 373-73. Further, the undisputed facts in the record establish that MOL's policy of engaging in split routing was not limited to Global Link. It engaged in the same practice with Nintendo, another MOL shipper, over a period of at least four years. GLL 22-25, 32, 457, 461, 472-75, 477-86, 488, 490. Paul McClintock and Rebecca

Yang had no direct involvement in the Nintendo split routing.¹ Thus, MOL's story that its long-standing practice of split routing was limited to a few high level rogue employees acting on their own is contrary to the indisputable evidence in the record. Under these circumstances, the adverse interest exception does not even come into play.

In perhaps its most brazen sleight of hand, MOL argues that as a matter of policy, the Commission cannot affirm the I.D. because to do so would undermine the Shipping Act. This argument ignores the real world effect of such a ruling. Even if one were to accept at face value -- in the face of the overwhelming and undisputed evidence to the contrary -- that only Paul McClintock and Rebecca Yang were aware of the ongoing split routing, the practical effect of insulating MOL from the action of its senior employees would render the Shipping Act unenforceable against corporate entities. Indeed, if the actions of a Vice President of the company, who not only has direct responsibility for dealing with the customer but also has nationwide sales responsibility, are not attributable to the corporate entity, it will be impossible to ever hold a corporate entity liable for a Shipping Act violation. Instead, corporations will always be able to obtain a free pass simply by proclaiming that it was not their stated policy to violate the Shipping Act. That is not, and cannot be, the law. The Shipping Act governs corporate entities as well as individuals. Congress delegated broad authority to the Commission to enforce the Shipping Act. If the Commission holds that corporations are not responsible for the acts of even their senior executives, it will be abdicating that oversight authority.

¹ Incredibly, MOL seeks to distinguish Nintendo's split routing from that of Global Link on the grounds that delivery to locations not identified in the MOL-Nintendo Service Contract and different than those on the MOL bills of lading under which the goods moved, was fully disclosed to MOL. *See* MOL Exceptions at p. 21. That, of course, simply proves that MOL was a willing participant in split routing; not that no split routing occurred. It also disproves MOL's contention that the split routing by MOL was limited to a few "rogue" senior executives, acting in their own interests.

The underlying premise of MOL's policy argument, i.e., that there is no way that MOL could have known about the ongoing split routing and that it would be unfair to allow the Respondents to get away with defrauding MOL, is also unsupported by the facts. MOL argues that Global Link's practice was "so well camouflaged" that it could never have discovered the practice, that Global Link's current owners only learned of it because a "whistle blower" came forward, and that Global Link must have been deceiving MOL because it issued false documentation in regard to shipments. None of these arguments can withstand scrutiny.

First, virtually all of the evidence that Global Link submitted to demonstrate MOL's ongoing knowledge of the split routing, and on which the I.D. relies in finding such knowledge, came from MOL's own files. GLL App. 128, 129-30, 132-33, 135-36, 137-38, 139-204, 205-296, 297-360, 361-60, 373-75. These include MOL's emails, shipline delivery orders, and trucker's invoices, all produced by MOL in discovery. Thus, this is not a case where Global Link came up with surprise testimony proving that MOL knew about and encouraged split routing; instead, the evidence consists of mountains of documents from MOL's own files establishing its complicity. A review of the procedural history of the case is instructive in this regard. MOL filed suit more than four years ago asserting that Global Link had defrauded it and that it had no knowledge that split routing had occurred until 2008. It continued to maintain this demonstrably incorrect position even after the depositions of Paul McClintock and Rebecca Yang were taken, during which they were extensively questioned about emails, truckline and shipping delivery orders, and other communications clearly evidencing MOL's participation in the split routing practices at issue. Rather than admit its position was untenable, MOL steadfastly continued to maintain its implausible position through its initial submission to the Presiding Judge on January 11, 2013. It was not until its Reply Brief on May 1, 2013, that MOL

finally conceded the absurdity of its position and belatedly acknowledged that its senior employees knew about and promoted split routing. MOL nonetheless argued that its complicity was limited to two “rogue employees,” and therefore it should still be able to recover on its fraud claim.² Neither the facts, the law nor policy support this conclusion.

MOL’s assertion that the practice was so well hidden that Global Link’s current owners did not learn of it until a whistleblower came forward ignores the fact that Global Link’s current ownership bought the company in June of 2006 and Global Link received the whistleblower report within a month thereafter. GLL App. 75. Thus, it hardly proves that no one could have discovered that split routing was occurring and indeed was endemic. Further, while MOL puts great emphasis on the fact that Global Link had a procedure in place that provided deceptive documentation to carriers, the undisputed facts show that the practice was unnecessary with MOL -- as opposed to other steamship lines that had a practice of complying with the Shipping Act.³ Documents from MOL’s own files show hundreds of instances in which Global Link submitted shipline delivery orders reflecting the actual location where goods were being delivered. The obvious implication for such disclosures is that MOL knew about the split routing. GLL App. 205-296, 297-360.⁴

² MOL has exhibited an unfortunate pattern of making allegations without regard for their truth. Here it alleges that it did not learn about the ongoing split routing until 2008. In contrast, it filed suit in 2012 against numerous truckers in New Jersey, alleging that they engaged in fraud by issuing fraudulent invoices in regard to split routing practices in the time period from 2004 until 2007. *See* Complaint at ¶ 33, GLL App. 498. There, MOL asserts that it did not learn of the allegedly fraudulent practices until 2011, *id.* at ¶¶ 38, 56, 74, 110, 128, 164, 182, 218. GLL App. 498-529, almost two years after the Complaint in this proceeding was filed with the Commission. *Id.* Thus, MOL’s position as to when it learned of the split routing is a moving target.

³ In February of 2011, MOL entered into a Compromise Agreement with the Commission and paid a fine of \$1.2 million for having engaged in Shipping Act violations, including providing service not in accordance with the rates, charges, classifications, rules, and practices set forth in its tariffs and service contracts. *See* Compromise Agreement, GLL SFoF 152-53, Supp. App. 577-79. Those penalties were imposed for practices that persisted over a period of several years and involved numerous service contracts. *See* CJR. App. at 081. Peter King, Director of the Commission’s Bureau of Enforcement (BOE), further stated that the BOE “became convinced that MOL knew about some of the abuses it uncovered by non-vessel-operating common carriers or shippers.” *Id.*

⁴ MOL also received notice in the form of truckers’ invoices showing that goods were being delivered to split routing locations. GLL App. 372-77.

The evidence in the record, upon which the I.D. appropriately relies, confirms that MOL was aware of the split routing, that it was a common occurrence, and that it was not a surprise to anyone at MOL that it was occurring. I.D. Finding of Fact (“FoF”) 33, 35. In addition, MOL’s own documents show that it explicitly agreed to pay truckers to carry goods to destinations not listed on its bills of lading or in the applicable service contracts. GLL App. 129-30, 132-33. Moreover, when Global Link, under its current ownership, sought to discontinue the split routing practices, MOL strenuously resisted such efforts. GLL App. 53-54, 437-38, 441-42, 443.

Further, the sworn testimony confirms not only that MOL was aware of the split routing *but that it encouraged it as a business practice because it benefited MOL*. While MOL pleads that such testimony should be disregarded, it fails to refute the obvious truth reflected in the record, that MOL received a significant benefit from split routing in the form of reducing its administrative burdens and expenses, and avoiding punitive railroad detention costs. I.D. FoF 39-41. In addition, MOL benefited by retaining Global Link as one of its largest customers and, more importantly, a unique kind of customer that allowed MOL flexibility to manipulate its shipments to improve vessel utilization, which permitted MOL to make more money. GLL Supp. App. 585-88. In light of these undisputed facts, awarding MOL damages based upon actions it not only was aware of, but actively promoted, would be a grave injustice. Having decided to engage in split routing with Global Link, it cannot now seek, in hindsight, to recover a windfall based upon its own deliberate, calculated actions. I.D. at p. 61.

As a last gasp legal argument, MOL baldly asserts that a carrier can recover for fraud even if the carrier knows it is occurring. *See* MOL Exceptions at 35. While an innocent third party who is harmed by fraud may assert such a claim, the notion that a party can knowingly

engage in fraud and then sue to recover based upon that same fraud is breathtaking in its absurdity.

Finally, MOL “cherry picks” a select portion of the I.D.’s findings of fact and argues that they are either unsupported by the evidence or that the supporting evidence should be disregarded. MOL’s contentions in this respect are meritless. The evidence and the law fully support the I.D.’s careful analysis. Accordingly MOL’s exceptions must be rejected and the I.D. affirmed.

The I.D.’s Findings of Fact and Conclusions of Law Are Amply Supported

Finding of Fact No. 6.

A. MOL’s Knowledge of Diversion and Payments Made to Truckers

MOL engages in a lengthy discussion of Finding of Fact No. 6, most of which is not relevant, and virtually none of which is supported by citations to the record. The most important, and inaccurate, statement contained therein is at page 8 of MOL’s Exceptions that “unbeknownst to the ocean carrier,” Global Link arranged for truckers to redirect cargo to another location for Global Link’s benefit. This statement is contradicted by overwhelming evidence in the record. For example, the undisputed evidence reflects that West Monroe, Louisiana was a door point in the service contracts between MOL and Global Link, but Winnsboro and Baskon, Louisiana were not. *See* Brian Pinkett Dec. at ¶ 6, GLL App. 1. Nonetheless, on December 21, 2005, Global Link wrote to MOL noting that MOL was paying Vineyard Express, a trucking company, only \$75 for taking goods from the ramp in Monroe, to Vineyard Furniture in Baskon and Winnsboro, although it is a 95 mile round trip. GLL App. 129-130. Global Link requested that MOL pay \$150 for round trips from Monroe to Vineyard Furniture. GLL App. 130. On the next

day, MOL agreed to the \$150 adjustment. GLL App. 129.⁵ Thus, as of December of 2005, MOL increased the amount it paid truckers for draying goods for split routings from West Monroe to Baskon and Winnsboro. Under these circumstances, MOL's assertion that truckers were redirecting cargo without MOL's knowledge and consent is unsupported by the record and simply untrue.

Further email correspondence and documentation in regard to these moves also disproves that McClintock and Yang were the only people who knew about and encouraged the split routing. For example, on December 1, 2005, one of MOL's employees, Diane Chick, wrote to her supervisor, Jane Martin, noting that the "b/l[s] [bills of lading] are showing West Monroe DOOR moves, but the delivery order I have for b/l #481637003 reads Winnsboro, LA, which is at least 30 miles south of West Monroe. We can only deliver to where the b/l reads unless the customer wants to pay the additional drayage." GLL App. 132-133.⁶ One other MOL employee weighed in noting that "you are not supposed to do this." *Id.* In response, an MOL Operations supervisor, Kelly Johnson, informed the other employees that "we are aware of that [the split routing], we will address this w/Jean Flaherty upon her return." *Id.* Jean Flaherty was an MOL Operations Manager. GLL App. 37. Jane Martin subsequently wrote an email addressed to Kelly Johnson, Amy Sinclair, Diane Chick, Rebecca Yang and Jeffrey Bumgardner, five MOL employees, stating that they should "just cut the TPO [Transportation Order] for West Monroe and if this is to Vineyard Trucking they can work out the difference internally." GLL App. 132. Thus, the evidence definitively establishes that an MOL Operations manager, staff employees and other supervisory personnel in MOL's Operations Department not only knew of the split

⁵ Subsequently, MOL agreed to pay truckers a flat fee of \$200 for this split routing. MOL Supp. App. 2081.

⁶ Given that the shipline delivery orders (of which there were hundreds) showing the actual destination where the goods were to be delivered came from Global Link, *see* GLL App. 138-360, this also disproves MOL's suggestion that Global Link was careful to prevent MOL from learning where the goods were actually being delivered.

routing, but, after consulting with higher ups, approved it. Under these circumstances, for MOL to argue that truckers were redirecting cargo without MOL's knowledge and consent is specious.

Finally, the facts in evidence establish that accounting and other MOL executives had to have known of the diversion of cargo from Monroe to Winnsboro. MOL handled a large volume of shipments destined for Winnsboro. *See* Minck Exhibits 5 and, MOL Supp. App. 2081, 2112-2126 (showing that after MOL increased the payment for truckers, the volume of business to Winnsboro increased exponentially, with MOL handling approximately 600 shipments.) As reflected above, although MOL asserts that it thought the cargo was destined for Monroe, Louisiana, where the rail ramp is located, it nonetheless continuously paid up to \$200 to truckers even though the goods were already in Monroe and did not have to be moved by truck. *See* MOL Supp. App. 2114-2126. Even MOL's most cursory review of its records would have revealed that it was paying truckers significant amounts of money to ostensibly transport goods to a place where the goods were already located. It is extremely implausible that MOL made over 600 payments to truckers over a period of years without anyone in MOL's accounting department, or its Yield Management Team that carefully examined shipments to make sure they were profitable,⁷ noticing that it was apparently paying for trips to nowhere. Clearly, MOL made a business decision that the split routing that was ongoing with Global Link was of sufficient benefit to MOL for the practice to continue.

B. MOL and Global Link Discussed Regional Door Points

In addition to misstating the record in regard to whether MOL knew about trucking diversions, MOL's Exception to Finding of Fact 6 takes the ALJ to task for his "serious misunderstanding" of how split routing worked. MOL Exceptions at p 7. In fact, however, this Finding by the ALJ is supported by undisputed evidence in the record. The testimony reflects

⁷ *See* Minck Dec. at ¶ 15, MOL Supp. App. 2081.

that MOL and Global Link discussed using certain door point in the service contract for deliveries to locations in the region. GLL App. 41, 51. They further acknowledged that because the door points in the service contract did not cover all the destinations where goods are being shipped, goods would often be diverted to another destination for the convenience of the customer. GLL App. 35. Under those circumstances, MOL would not charge a diversion fee and would charge the customer for the destination listed on the bill of lading. *Id.* Thus, far from being in error, FoF No. 6 is fully supported by undisputed evidence in the record.

Finding of Fact No. 16. MOL's objection to FoF 16 suffers from the same initial defect noted above. Although MOL states that "without MOL's knowledge GLL instructed those same truckers to redirect the shipments to other undisclosed locations chosen by GLL,"⁸ in fact the record shows that MOL knew about, *and paid for*, such diversions. GLL App. 132-33. Further, it is noteworthy that the email evidence it cites in support of its Exceptions is not in regard to a MOL shipments but instead to a P&O Nedlloyd shipment, a carrier that, unlike MOL, did not appear to encourage split routing.

Finding of Fact 32

Finding of Fact 42. MOL asserts a number of varied and diverse objections to these Findings of Fact but they are all misguided. MOL asserts, *inter alia*, that the ALJ should not have credited the evidence that MOL was resistant to adding new door points in its contract and that Rebecca Yang's testimony in this regard is not credible. There is ample other evidence -- as discussed below -- supporting this conclusion, much of it consisting of contemporaneous email correspondence. Thus, MOL's argument that it did not resist adding door points and did not

⁸ MOL Exceptions at pp. 11-12.

have a policy of not charging diversion fees when goods moved to locations not in its service contracts, is contrary to the overwhelming evidence in the record.⁹

The Evidence Establishes that MOL Refused to Negotiate New Door Points in its Contracts

Despite MOL's protestations, the evidence clearly establishes that MOL was reluctant to negotiate new door points in its service contracts and instead preferred to engage in split routing. Further, MOL's suggestion that this finding is only supported by the testimony of Rebecca Yang is simply wrong. *See, e.g.*, Rosenberg Dec. at ¶ 48, CJR App. 008 (MOL was always reluctant to negotiate new door points for GLL's customers); Briles Dec. at ¶ 24, 52, CJR App. 0016, 0021 (MOL reluctant to negotiate new door points and was not interested in contracting for "thousands of door points"). Thus, on several occasions when Global Link requested rates for additional door points, MOL advised Global Link to book shipments to the regional points that had already been negotiated in the service contracts, rather than to request additional points. Briles Dec. at ¶ 25; CJR App. 0016.

Even more telling, however, are the sworn statements of Jim Briles, Hessel Verhage and Christine Callahan of Global Link, which are supported by contemporaneous emails, showing that MOL refused to add new door points and to stop engaging in split routing even when Global Link insisted that it do so. In March of 2007, Jim Briles informed MOL that Global Link wanted to change its service contract from having only a limited number of door points to adding more door points and using container yard (CY) and port rates. *See* Jim Briles Dep. at 129:7-22, GLL App. 54. Subsequently, McClintock and Yang came to Global Link's offices to discuss the new contract and Global Link's desire to get away from using only a handful of door points. *Id.* at

⁹ It is noteworthy that in its Exception to FoF 42, while stating that the deposition testimony of Chad Rosenberg, Paul McClintock and Rebecca Yang is contradicted by the actual facts, MOL is unable to point to a single piece of evidence refuting their testimony.

128:5-129:19, GLL App. 54. MOL told Global Link it would not cease split routing because it was too time-consuming to negotiate individual delivery points. *Id.* Briles further testified that when he requested that a different door point be added to the MOL-Global Link service contract for a particular shipment, MOL requested that Global Link instead move the shipment as a split. *Id.* at 124:20-125:9, GLL App. 53.

Hessel Verhage, the President of Global Link, and Christine Callahan, Global Link's Chief Operations Officer, testify that they met with MOL and explained that, with Golden Gates' purchase of Global Link, it could no longer engage in split routing with MOL. Hessel Verhage Dec. at ¶ 4, GLL App. 443. MOL expressed disappointment that Global Link was no longer willing to do split routing. *Id.*

In June of 2007, when MOL still had not provided the location information for the new contract necessary to eliminate split routings, Christine Callahan wrote to MOL that Global Link could not continue to use the existing methodology in the contract and the parties needed to get the container yard [CY] rates in place as quickly as possible. GLL App. 441-442.

When almost three weeks later, MOL still had not responded, Ms. Callahan wrote again:

"Although you explained to us the challenges you have internally at MOL regarding the change in methodology to CY moves vs. *the split door service MOL has historically provided*, we haven't been advised of any change.

We've waited as long as we possibly can. Therefore, I have advised both Jim and Molly that *we must discontinue supporting MOL on the split moves* as we do not have MOL CY rates in place that will allow us to arrange our own trucking. This instruction has been given with immediate effect."

GLL App. 441 (emphasis supplied).

In light of all of this evidence, for MOL to continue to insist that it was not resistant to adding new door points to its contract, and was not, instead, promoting split routing, is ludicrous.

MOL Had a Policy of Not Charging Diversion Fees for Split Routing

MOL's argument that the only reason MOL did not charge Global Link diversion charges is because it did not know about the diversions¹⁰ is also wholly unsupported by the record. As reflected above, the record shows that MOL not only knew about the diversions, it actually paid drivers to do them. GLL App. 129-30. No explanation is given as to why MOL did not assess diversion charges in those instances but would have assessed them in others. MOL also ignores the fact that its decision not to assess diversion charges was not limited to Global Link and was not limited to instances where it purportedly did not know of the diversion. GLL App. 22-25, 29, 32, 472-75, 477-86, 488, 490.

Nintendo Engaged in Split Routing and Was Not Charged Diversion Fees

The undisputed evidence shows that although Nintendo had only one door point in its contract, which was shown as the destination on all of MOL's bills of lading, MOL's practice was to actually deliver Nintendo's goods to locations different than the location in the service contract and the bills of lading. McClintock Dep. at 205:19-206:13, GLL App. 22-23. Deliveries to such locations were contrary to the terms of the service contract and constituted split routings. *Id.* at 310:21-312:8, GLL App. 29; *see also* Yang Dep. at 19:10-20:4, GLL App. 32 (delivery orders were saying something different than what was reflected on the bill of lading and operations staff never questioned it.)

The primary function of three MOL employees was to deliver goods to locations not in the Nintendo service contract and not reflected in MOL's bills of lading. McClintock Dep. at 210:1-19, GLL App. 24. It was "*standard operating procedure*" for MOL to engage in split routing on behalf of Nintendo. *Id.* at 214:13-20, GLL App. 25 (emphasis supplied). MOL never sought to re-rate the shipments or seek diversion fees from Nintendo. *Id.* at 208:13-18, GLL

¹⁰ MOL Exceptions at p. 14.

App. 23. Thus, although split routing was a common practice between MOL and Nintendo, MOL did not take any action against Nintendo. *Id.* at 208:19-209:9, GLL App. 23.

In response to an Order from the Presiding Judge,¹¹ MOL submitted a summary of sample shipments it handled for Nintendo showing that “according to [Nintendo],” 82% (98 of 119) of the containers in those shipments were diverted from the delivery site listed on MOL’s Transportation Order and on the bill of lading. *See* pages 4-6 of MOL Response, GLL App. 473-475. The sample shipping documents accompanying MOL’s submission show that although every MOL bill of lading indicated that the goods were to be delivered to a North Bend, Washington door point, *see* MOL bills of lading attached as exhibits to MOL submission, GLL App. 477-486, in fact, most were delivered to Redmond or Yakima. GLL App. 490. Thus, the goods were being diverted to locations different than those shown on MOL’s bills of lading and its Transportation Orders to the motor carriers performing the deliveries.

Further, the Declaration of Solange Young, which was attached to MOL’s Response, confirmed that Nintendo provided weekly delivery schedules to MOL. *See* Young Dec. at ¶ 3, GLL App. 488. The sample delivery schedule provided by Ms. Young further confirms that, although every MOL bill of lading showed the goods were to be delivered to a North Bend door point, 34 of 119 containers were delivered to contractors at unspecified locations. *See* Exhibit QQ at pages 4-6, App. 473-475. In addition, another 59 out of 119 were diverted to Redmond, instead of to North Bend. Nonetheless, MOL did not seek to re-rate the Nintendo shipments to the new destinations. MOL Response to ALJ Question No. 5, GLL App. 472. In an attempt to explain this failure, MOL asserted that diversion charges are not assessed unless the shipper requests such a diversion, and that ocean freight charges do not have to be re-rated if the location

¹¹ This was precipitated by MOL’s failure to produce records reflecting split routing by MOL and Nintendo despite the fact that such records were clearly responsive to Global Link’s document requests.

where goods are diverted is not far from the location reflected in the bill of lading, *e.g.*, from North Bend to over 110 miles away in Yakima. *See* MOL Response to ALJ Question No. 4, GLL App. 472.¹²

MOL's own admissions therefore definitively establish that it did not have a policy of charging diversion fees for split routings unless the company affirmatively requested the diversion, and that it did not re-rate freight charges for Nintendo despite the fact that cargo was being delivered to locations not in its Service Contract and not in the MOL bills of lading.

The Evidence in the Record Confirms that Global Link Would Not Have Continued to Do Business with MOL If It Was Assessed Diversion Fees.

Finally, MOL errs in stating that the only evidence that Global Link would have refused to pay diversion charges was the testimony of Rebecca Yang and her testimony is not credible. In fact, Paul McClintock, MOL's Vice President, expressly admitted that if MOL had sought to recover diversion fees from Global Link, Global Link simply would have taken its business elsewhere. *See, e.g.*, Paul McClintock Dep. at 90-91, GLL Supp. App. 592-93, indicating that if rates were higher, Global Link would "have other options," *i.e.*, the goods would "move with another company, another steamship line." Indeed, MOL unwittingly makes this very point in one of its earlier submissions. In the Declaration of Warrin Minck, MOL's internal auditor states that, prior to the time when MOL increased the amount it would pay truckers to transport goods from Monroe to Winnsboro, MOL only handled four of such shipments. Minck Dec. at ¶ 15

¹² Although MOL seeks to obscure the truth in its artful, *i.e.*, deceptive, declarations, a close examination of the Declaration of Lyn Symms, *see* MOL Supp. App. 2065, further confirms that MOL was aware of the ongoing split routing. Mr. Symms admits that at the time MOL booked shipments on behalf of Nintendo, Nintendo would not yet know the ultimate destination to which the goods were to be delivered. Symms Dec. at ¶ 4, MOL App 2066. *Thus, although the bills of lading were primarily consigned to North Bend, the decision as to where the goods would actually be delivered was left to Nintendo's discretion.* *Id.* at ¶ 4. Mr. Symms further admits that MOL's service contract was not amended to allow this practice until 2008. *Id.* The split routing with Nintendo apparently dated back to 2004, when Mr. Symms assumed the position of Coordinator in the Operations Department in MOL's Seattle office. *Id.* at ¶ 2.

(MOL Supp. App. 2081). After MOL increased the payment for truckers, however, the volume of business increased dramatically, with MOL handling approximately 600 shipments. Minck Exhibit 6, MOL Supp. App. 2114-2126. Obviously, prior to that increase in the trucking allowance, Global Link was shipping the cargo to Winnsboro through a different steamship line. Thus, the facts in the record confirm that MOL's agreement not to charge diversion fees was driven by economic necessity, in order to maintain a significant customer. (It also confirms that split routing was a tool that MOL used to increase the amount of business it did with Global Link and that the agreement to engage in split routing was not taken by Mr. McClintock acting in his own self-interest).

Finding of Fact No. 47. Despite MOL's protestations to the contrary, the email in question shows that Laci Bass of MOL and Global Link are discussing a door move to Martinsville, Virginia, that is actually going to a different location, *i.e.*, a split routing. MOL agrees that the next time a container is being split routed from Martinsville, the trucker will agree to pay Global Link some of the extra money it is making on the haul so as to ensure that Global Link will not "come out of pocket" on any money. MOL further agrees that it will work the future delivery orders on a case by case basis in the same manner. Although MOL argues that this is a case of MOL refusing to do a split routing, no explanation is given as to why, if split routing was prohibited, there would be a need for MOL to pay the trucker extra money that is then funneled to Global Link or why there would be a need to handle these on a case by case basis in the future.

Footnote 50.

Finding of Fact 33. MOL disputes that there were other instances than the ones cited in which Global Link did split routing with the knowledge and consent of MOL's representatives. For MOL to even dispute this point smacks of desperation. As discussed above, the

incontrovertible evidence in the form of contemporaneous emails show MOL not only knew of split routing, it paid truckers to engage in it. It also definitively shows that MOL refused to stop the practice even when threatened by Global Link's current ownership that the practice must cease. *See* GLL App. 53-54, 439, 441-443. The record further establishes that MOL employees received hundreds of notices from Global Link in the form of Shipline Delivery Orders that split routings were regularly occurring to places as diverse as Sugarland Texas, Phoenix, Arizona, Winnsboro, Louisiana, Tucker, Georgia, Otaka, Oklahoma, Itasca, Illinois, Dubuque, Iowa, Noblesville, Indiana, Bassett, Virginia, Fort Worth, Texas and Lynchburg, Virginia. GLL App. 138-360. In none of these instances was Global Link informed that the practice must stop.

MOL's argument that only Rebecca Yang and MOL's Senior Vice President, Paul McClintock knew about the practice is equally specious. As revealed above in response to MOL's Exception to Finding of Fact 6, Diane Chick, Jane Martin, Kelly Johnson, Jean Flaherty, Amy Sinclair, and Jeffrey Bumgardner all communicated in regard to Global Link's split routing and, despite one junior employee's statement that "you are not supposed to do this," they all agreed that they should cut Transportation Orders to an incorrect address and let Global Link work out the details with the trucker. GLL App. 132-133. Further, although Rebecca Yang was "cced" on a handful of the hundreds of shipline notices evidencing split routing notices, the vast majority were sent to other MOL employees, including MOL Operations Managers and other supervisory personnel. *Id.* The record reflects that at least 12 MOL employees were involved in communications in regard to split routing including Paul McClintock, Rebecca Yang, Laci Bass, Ted Holt, Barbara Perry, Jean Flaherty, Kelly Johnson, Lauren Estrada, Jane Martin, Amy

Sinclair, Diane Chick, and Jeffrey Bumgardner.¹³ Finally, MOL conveniently ignores the fact that other MOL employees, including senior personnel, had to have been involved in the split routing being handled by MOL on behalf of Nintendo, with whom split routing operations continued for at least four years. *See Symms Dec. at ¶ 4, MOL Supp. App. 2066* (MOL's service contract with Nintendo not amended until 2008 so as to allow delivery to locations other than North Bend.)

Statement bottom of p 57 of I.D. MOL's argument that split routing was used to defraud MOL is again contrary to the record, given that MOL admittedly knew of the ongoing practice, paid truckers to engage in it on behalf of Global Link, issued Transportation Orders to locations where it knew goods were not being delivered, and even did the split routing deliveries itself on behalf of Nintendo. *See GLL App. 22-25, 29, 32.*

Statement bottom of p 58 of I.D. MOL seizes upon a mistaken reference to a house bill of lading, instead of a master bill of lading, as suggesting that the ALJ fails to understand how split routing worked. MOL's attack does not alter the indisputable facts, as recognized by the ALJ, that MOL knew about the split routing, paid truckers to engage in it and issued Transportation Orders to locations where it knew goods were not actually being delivered. *GLL App. 132-33.* It also does not alter the fact that over a period of several years MOL employees delivered cargo to split routing destinations on behalf of Nintendo. *GLL App. 24-25.* Accordingly, MOL's Exception lacks any articulable basis.

Footnote 60. MOL attacks the ALJ's finding that the service contracts at issue permit assessment of diversion fees for delivery to locations not contained in the service contract, stating that there is no express provision contained therein. MOL then extrapolates that this

¹³ In fact, the number is much greater than that because many of the hundreds of shipline delivery orders were sent to MOL Operations, without specifying the recipient. The fair inference is that everyone in MOL Operations had to have known about the widespread split routing that was ongoing.

proves that the ALJ is ignorant as to how split routing works. As MOL itself concedes, however, the term of MOL's tariff, which permit such diversions, are incorporated in the service contract by reference. *See* MOL Exceptions at p. 18. Thus, the I.D.'s finding is clearly correct. More significantly, MOL provides nothing to support its statement that the record does not reflect that MOL had knowledge of the split routing. In fact the evidence to the contrary is overwhelming. GLL App. 128-20, 132-33, 135-36, 137, 138-360, 373.

Footnote 21. MOL objects to the statement in the I.D. that MOL was paying an allowance to truckers, stating that it is completely wrong and contrary to the evidence. MOL Exception at p. 19. While so contending MOL points to no actual evidence in the record substantiating its assertion. In fact, as referenced above in response to MOL's Objection to Finding of Fact No. 6, the indisputable evidence shows that MOL was paying truckers an allowance for delivering goods to split routing locations. GLL App. 129-130. Thus, MOL's argument that it was deceived into paying truckers to locations not reflected in its bill of lading is demonstrably untrue.

Footnote 40. MOL objects to the I.D.'s conclusion that the evidence of whether Global Link ceased engaging in shortstopping is unclear. MOL's argument is premised upon a misstatement of legal advice Global Link received and what constitutes shortstopping. The practice that counsel advised was illegal was not having its truckers deliver shipments to final destinations closer than the actual destination; it was receiving rebates from truckers for such shipments. MOL App. 1587, 1625. The I.D.'s conclusion is correct that there is nothing in the record establishing that Global Link received such improper rebates after 2003.

Footnote 43. MOL first takes the ALJ to task for failing to cite cumulative evidence concerning MOL's knowledge of split routing and the benefits of split routing to MOL. MOL

Exceptions at p. 21. Given that the evidence in this regard is overwhelming, it was unnecessary for the I.D. to cite all of the evidence in the record.

MOL also complains that the I.D. should not have referenced the fact that MOL engaged in split routing with Nintendo because the prior Presiding Judge thought that it was irrelevant. In fact, while the I.D. properly noted that MOL engaged in split routing with Nintendo, it fails to give it the weight it deserves. Contrary to the original ALJ's conclusion, the fact that MOL also engaged in split routing with Nintendo is not only relevant, it is dispositive in establishing that the adverse interest exception is inapplicable.

MOL argues that the actions of its Vice-President, and a senior salesperson, and the actions of the salesperson with direct responsibility for the Global Link account, are not attributable to MOL because their actions were taken solely on their own behalf and not on behalf of the company. To the extent that MOL engaged in split-routing with other shippers, such as Nintendo and McClintock and Yang were not involved in the split routing -- which the evidence clearly shows -- McClintock Dep. at 205-215, GLL App. 23-24, MOL's defense fails because it shows that this split routing was not the action of two rogue senior employees, but instead reflected MOL's policy of engaging in split routing for large customers. Thus, the Nintendo evidence is not only relevant, it is dispositive.

MOL's further argument in regard to why the Commission should ignore the evidence of its split routing with Nintendo is simply ludicrous. MOL argues that Nintendo is different from Global Link because Nintendo was not issuing any false documentation, *i.e.*, it was telling MOL that the goods were not going to the location listed on the bill of lading and the only location listed in the MOL-Nintendo Service Contract. MOL Exceptions at 21. While the evidence shows that this is true, it does not help MOL. Instead, it proves that MOL was a willing

participant in split routing. Given that McClintock and Yang were not involved in the split routing involving Nintendo, but the practice persisted for at least four years, the evidence also destroys MOL's argument that its split routing was a rogue operation conducted by two senior employees unbeknownst to the rest of the company.

Finally, MOL argues that what was happening with Nintendo was not really split routing. Again, MOL's argument is wholly unsupported by any evidence in the record. *See, e.g.*, GLL App. 22-23 (MOL's practice was to actually deliver Nintendo's goods to locations different than the point shown in the service contract and the MOL bills of lading.) *Id.* at 205:19-206:13. Deliveries to such locations were contrary to the terms of the service contract and constituted split routings. *Id.* at 310:21-312:8, GLL App. 29; *see also* GLL App. 32 (delivery orders were saying something different than what was reflected on the bill of lading and operations staff never questioned it.) Instead, MOL merely cross-references arguments it made in a Reply Brief in support of its Claim. There MOL did not dispute that the Nintendo goods were going to locations not specified in its service contract with Nintendo, and not reflected in the bills of lading under which the goods moved. Instead, the only real dispute is whether Nintendo provided weekly reports to MOL showing where the split routed goods were being delivered,¹⁴ or as was more likely the case, MOL was directly involved in coordinating the split routing itself.¹⁵ Under either scenario, however, MOL knew that goods were being delivered to locations not reflected in its service contract with Nintendo and different than the locations listed on the MOL bills of lading under which the goods moved, and it did not re-rate the freight charges or assess diversion fees. For MOL to argue that this was not split routing is absurd.

¹⁴ *See* Solange Young Dec. at ¶ 3, GLL App. 488.

¹⁵ *See* McClintock Dep. at 211-212, GLL App. 24.

Finding of Fact 36. MOL argues that the evidence relied upon to establish that MOL wanted knowledge of split routing to be confined to upper-level management of Global Link and MOL should be disregarded. MOL Exception at p. 22. Instead, MOL suggests that the ALJ should have credited the testimony of Edward Feitzinger. There is no legal or logical basis to disregard the evidence in the record or to accept the demonstrably speculative testimony of Mr. Feitzinger.

The I.D. properly relies upon the testimony of Jim Briles in this regard. Mr. Briles testified that Paul McClintock told him that conversations in regard to split routing should be limited to “*high level management of Global Link and MOL* and we didn’t – our operation group didn’t talk about it.”¹⁶ Briles Dep. at 133-134, MOL App. 1226 (emphasis supplied); *see also*, Briles Dec. at ¶ 27, CJR App. 016. This testimony is corroborated by the testimony of Chad Rosenberg that McClintock and Yang encouraged Global Link to keep inter-company discussions regard split routing limited to “management-level employees” at Global Link and MOL. Rosenberg Dec. at ¶ 53, CJR App. 009. No valid reason is given as to why this testimony, which is based upon first-hand knowledge, should be ignored.

In contrast, MOL invites the Commission to instead rely upon the deposition testimony of Edward Feitzinger, an employee of Golden Gate Logistics, the company that purchased Global Link in June of 2006, and who had no direct experience of the split routing practices. Mr. Fietzinger’s testimony was that he spoke to someone on Global Link’s management team, but he was not sure who. MOL Exceptions at 22-23.¹⁷ That nameless person told him that split routing was “sort of kept on the quiet.” While admittedly the Federal Rules of Evidence and the rules

¹⁶ Further, as discussed below, not only senior management but the operations staff were on notice of the ongoing split routing.

¹⁷ Upon further speculation, he thought there were a couple of “likely suspects” he might have talked to, but could not pin it down any further than that. MOL Supp. App. 1996.

precluding hearsay do not apply to this administrative proceeding, there is still a requirement that evidence be credible and reliable. *See* 46 C.F.R. § 502.156 (evidence must be reliable and probative to be admissible). Here, the testimony proffered does not remotely satisfy those requirements. Certainly there is no valid reason to ignore first-hand credible testimony in favor of second or third hand conjecture and speculation.

Finding of Fact 37. MOL disputes the finding that that no MOL representatives at McClintock's and Yang's level refused to do a split move. Again, rather than cite actual evidence in the record to the contrary, MOL nitpicks the Finding. The facts in the evidence, however, including the very testimony referenced by MOL, amply support the I.D's Finding. Further the evidence reflects that, although a junior MOL Operations employee raised concerns in regard to split routing, after Operations Managers were consulted, and after they further consulted with higher ups, the directive was made to issue Transportation Orders to locations different from where the goods were actually being delivered. GLL App. at 132-33. This refutes the notion that only McClintock and Yang were aware of, and complicit in, the split routing.

MOL further argues that the only possible reason McClintock would have suggested limiting discussions of split routing to senior management is that he was acting against MOL's interests. This argument fails for a variety of reasons. First, it ignores the obvious reason why companies engaging wrongdoing do not advertise or publicize that fact. They do not want to get caught. Presumably when MOL engaged in the actions that led to the Commission fining it \$1.2 million for Shipping Act violations, including providing service not in accordance with the rates, charges, classifications, rules, and practices set forth in its published tariffs,¹⁸ MOL did not announce to all of its low level employees or the world at large what it was doing. That, of course, does not mean that the senior executives who promoted the Shipping Act violations were

¹⁸ *See* GLL Supp. App. 577-79, CJR App. 081,

acting on their own behalf, instead of MOL's. Further, there is no reason to make such an inference, given that the actual evidence in the record amply supports the conclusion that MOL engaged in split routing for its own benefit and that it is only now, years later, that it feels that the *quid pro quo* it received for engaging in split routing was inadequate and, therefore, it should be entitled to seek recovery based upon the very actions it endorsed and promoted. I.D. at 61.

Finding of Fact 48. MOL reiterates the same arguments previously made, *i.e.*, that only McClintock and Yang knew of the split routing. Global Link incorporates its prior arguments in this regard so as not to belabor points already established. Global Link further notes that it defies belief that Paul McClintock on his own authorized the payment of hundreds or perhaps thousands of invoices to truckers on shipments in which no trucking was required, and no one in MOL's accounting department or its Yield Management Team noticed it over the course of several years. *See* GLL Response *supra* at p. 9. Further, as noted above, the notion that there was no benefit to MOL from agreeing to pay for shipments to Winnsboro, is belied by the Declaration of their own witness, Warrin Minck (prior to increasing the amount of the trucker's allowance on the shipments at issue, MOL only handed 4 shipments to Winnsboro on behalf of Global Link; afterward MOL handled over 600 shipments.) MOL Supp. App. 2081. Obviously, MOL received the benefit of significantly increased business as a result of this split routing.

Last full paragraph page 62. MOL disputes that it went into the split routing with Global Link with its eyes open and accepted the benefits arising therefrom. The evidence in the record in this regard, however, is unassailable. MOL preferred that Global Link engage in split routing as it saved MOL from the inconvenience and administrative burden of having to negotiate numerous additional door points rather than simply shipping goods to regional points. I.D. at p. 58. This is confirmed by the testimony of Chad Rosenberg, Jim Briles, Paul McClintock, Hessel

Verhage and Christine Callahan. GLL App. 6, 53, 441-43. In addition, the unrefuted testimony reflects that one of the significant benefits of the Global Link contracts for MOL was that Global Link took on most of the obligations in terms of actually delivering the goods from the MOL container yard to the door point. *See* McClintock Dep. at 63:3-13, GLL App. 17. The willingness of Global Link to handle the inland transportation or delivery of the goods to the door point was a significant benefit to MOL because MOL did not have to do the work involved in handling such moves. *Id.* at 15:19-22, GLL App. 9. MOL no longer had the burden of providing staff to coordinate the door moves. *Id.* at 16:15-17:20, GLL App. 9; *see also*, Yang Dep. at 66:14-67, GLL App. 40 (significant benefit to MOL in having Global Link use its preferred truckers to deliver goods because it reduced the work load for MOL's operations staff).

Mr. McClintock also testified that the railroads were imposing significant penalties for not timely removing containers from the rail yard. *Id.* at FoF 41. Ordinarily, in a door move, MOL assumed such responsibility and had to pay the costs associated with such detention charges. *Id.* By having Global Link take over responsibility for the door moves, however, railroad detention charges were no longer MOL's responsibility. *Id.*; GLL App. 9-10 (if Global Link uses its preferred trucker, Global Link assumes obligation to pay railroad detention charges). Thus, when Global Link began handling the door moves itself, it took the burden off of MOL to make the appointment, to schedule the deliveries, and manage the free time issues at the container yards in question. *Id.*

Finally, and perhaps most importantly, Global Link provided a substantial benefit to MOL by providing MOL the flexibility to manipulate Global Link's cargo to increase MOL's vessel and equipment utilization and enable MOL to achieve the most profitable mix of cargo on any given vessel, which was a key to producing MOL's revenues. As a result, Global Link's

value to MOL went way beyond the value of its own cargo from a yield perspective; Global Link enabled MOL to make more money on its other cargo. McClintock Dep. at 44-45, GLL Supp. App. 586-587. Paul McClintock explained this value of Global Link's cargo in detail in his deposition testimony as follows:

A But what was positive about the account and the reason the company went after it and wanted it was one of the big benefits of the account was they allowed us to roll their containers, to shut their containers out. So if you think about a ship coming in, it's no different than an airline. If it sails at 90 percent, you can never make up that ten percent.

So we had always tried to get certain customers that would allow us, especially during busy season, which some years was all year and other years was just during the summer months, we always tried to get certain customers that would allow us to book slugs of business, 100 containers on a particular ship or 200 or whatever, and then when the ship closes out, all of sudden, there's better freight, better opportunities.

Global Link was one of the accounts that we would then say, sorry, you're not getting a -- you're not getting a pass on the ship, and we would roll their cargo and shut it out and use that cargo to top off a ship, or we might take that cargo and discharge it. It may load in Shanghai, and the ship gets to Tokyo, and all of a sudden, we might have a big booking of business from Japan that pays better, and we would take the Global Link cargo, take it off the ship, park it on the dock, delay it a week, and then maybe pick it up the following week or maybe roll it another week.

That's what I mean complex. It was -- it went beyond just what the dollars and cents were, because we were able to manipulate that cargo and roll it and top off our vessels, which, of course, improved our utilization.

And if you think about a steamship line, the biggest expenses we had were the fixed expenses. I mean, it was just a fixed line of vessels and ships and admin, and once you get to a certain point making money, and one of the key ways to make some money is to make sure you fill those ships.

So you need the buffer cargo that you can ebb and flow and roll, and most customers won't allow you to do that, they won't put up with that, you know, you can't roll my cargo, so to speak. So we did that with Global Link.

Id. at 43-46, GLL Supp. App 585-88.¹⁹

Finding of Fact 39; Footnote 59;

Finding of Fact 40;

Finding of Fact 41;

Finding of Fact 58. In regard to each of these findings, MOL disputes the fact that there was significant benefit to MOL in having Global Link assume the responsibility for delivery of goods to door points. The Findings of Fact in this regard are not only amply supported by evidence in the record, they comport with common sense. *See*, Global Link Response, *supra* at pp. 24-25.

MOL also makes a feeble stab at arguing that there was no benefit to MOL in having Global Link handle this responsibility because it had employees who might have been able to do the work themselves. MOL Exceptions at p. 32. Again, however, MOL's argument simply ignores the actual evidence in the record. There is no legitimate reason to disregard the testimony that MOL was having trouble keeping up with the deliveries of 50-100 containers at a time from Global Link because of logistical and coordination problems, including knowing who to contact at the various warehouses for appointments. GLL App. 9. There is also no valid reason to disregard the testimony that MOL was having problems with rail detention and those detention costs fell upon MOL. *Id.* at 9-10. Thus, when Global Link decided that it was taking over that process, it was a great relief to MOL. *Id.* Moreover, even ignoring this evidence --

¹⁹ In arguing that there is no evidence that MOL had contemporaneously knowledge of split routing, MOL argues that the ALJ contradicted himself in regards to whether Global Link engaged in shortstopping. In fact, there is no such contradiction and the only way MOL can manufacture one is by ignoring the actual definition of shortstopping. *See, supra* at p. 19. Indeed, MOL not only ignores the actual definition of shortstopping, it also ignores its own made up definition in order to conclude that the ALF contradicted himself. On page 20 of its Exceptions, MOL defines shortstopping as when the motor carrier collects more from the ocean carrier than it is entitled to collect. On page 27, however, it merely assumes that shortstopping occurs whenever cargo was delivered to a location less distant from the port or rail terminal than the location specified in the bill of lading. To the extent that the parties agreed, as reflected in the record, that certain locations were regional door points, and as to the trucker's allowance that would be paid for such transportation, there was no shortstopping even under MOL's bogus definition. *See* GLL App. 41, 51; I.D. at 61. Moreover, the drayage rates for delivery to a location less distant from a port or rail terminal may be more than one that is more distant, as the trucker's rate is not solely dependent upon miles but also may be dependent upon congestion, volume and other factors.

which MOL clearly has done -- and assuming that MOL could have hired sufficient staff to handle the account, MOL's argument misses an obvious point. To the extent one can have another party assume the responsibility to do work, there is an administrative benefit to the company who does not have to hire staff to do it. To argue to the contrary is simply ignores reality and the facts in the record.²⁰

The main thrust of MOL's argument in this regard, however, is that the benefit did not outweigh the costs and/or that Global Link also received a benefit from assuming that obligation or it would not have done it. Again, MOL's argument misses the point. Although MOL grossly exaggerates the costs to MOL in its discussion, the more telling point, as discussed in greater detail below, is that the "adverse interest" exception only applies when the actions taken are solely for the benefit of the rogue employees and not at all for the benefit of the corporate entity. Thus, whether Global Link also received a benefit from assuming the obligation to handle the inland phase of the shipments is of no import. Here, no amount of obfuscation can obscure the fact that there was a real benefit to MOL in having Global Link handle the cargo deliveries. To argue to the contrary is simply ignores reality and the facts in the record.

Statement in Last Paragraph of page 60. MOL takes exception to the I.D.'s FoF that: 1) split routing provided certain benefits to MOL; 2) Global Link had reason to believe that MOL's Vice President with responsibility for sales throughout the entire country and its Regional Sales Manager (who had primary responsibility for the Global Link account) had authority to act on behalf of the company; and 3) that it was not engaging in fraud if MOL was aware of the

²⁰ MOL also goes off on a long tangent in regard to the fact that on one occasion Paul McClintock let certain cargo move via truck rather than rail. The relevance of this discussion is unclear as the shipment in question does not even appear to have been a split routing. To the extent that MOL is arguing that this shows Mr. McClintock was acting in Global Link's interest rather than MOL's, it is baseless. Sales people frequently take actions to support their customers, especially important ones, by, for example, offering discounts or other benefits, even if in the short run, it hurts the bottom line of the company. To suggest, in effect, that every time a salesman throws in free floor mats on a car he has abandoned his employer's interest is ludicrous.

ongoing split routing. The fact that MOL received an obvious benefit from having Global Link handle the inland transportation on behalf of MOL is addressed above. The notion that it was unreasonable for Global Link to think that a Vice President with responsibility for sales throughout the entire country, and a chief sales person who was given the responsibility to handle one of the company's largest accounts, had authority to act on behalf of the company also simply does not make sense. The natural and appropriate assumption is that high level executives of a company are acting on behalf of the company and have authority to do so. As the law recognizes, corporations can only act through their employees. Such an assumption is particularly well-founded when dealing with high level executives and when at least a dozen other employees of the company have endorsed the practices at issue. *See* GLL App. 132-33, 138-380.²¹

MOL seeks to overcome these common sense conclusions by arguing that they do not apply here because Global Link should have known the actions were questionable; that Global Link had a practice of using two sets of documents; and that Global Link told its employees not to discuss split routing with anyone at MOL other than McClintock and Yang. The I.D. easily disposes of the first issue, relying upon evidence in the record showing that Global Link had sought legal advice concerning split routing ten months before the start of the relationship and the gist of that advice was not that split routing was illegal, but that there was some risk in the practice. I.D. at p. 60. As to the second issue, the evidence reflects that while Global Link did have procedures in place for using two set of documents, it was unnecessary in dealing with MOL because MOL knew of and encouraged split routing. Indeed, Global Link sent MOL

²¹ This is not a case where Global Link was dealing with a janitor or custodian who would not be presumed to have authority to make discretionary decisions.

hundreds of documents disclosing the true location where goods were being delivered and on none of those occasions did MOL ever object that the practice was not permitted.²²

Finally, MOL simply misstates the record in asserting that Global Link told its employees not to discuss split routing with anyone at MOL other than McClintock and Yang. In fact, the record reflects that they were told to discuss the matter only with high level management at MOL. *See I.D. at p. 61.*

Statement in First Full Paragraph, page 61. MOL once again argues that there was no benefit to MOL from engaging in split routing. As noted above, the indisputable evidence in the record is to the contrary. *See, e.g., I.D. Findings of Fact 39-42.* MOL then argues that the benefit to MOL was outweighed by the loss of revenue it suffered as a result of split routing. As the I.D. itself recognizes, however, the fact that in hindsight MOL may consider the benefits to have been an inadequate *quid pro quo* for its alleged loss of revenue, does not establish that Global Link should have presumed that the Vice President of the company did not have authority to act on MOL's behalf. *I.D. at pp. 59-60.*

Legal Argument

While the I.D.'s Findings of Fact and legal conclusions are largely correct, it does err in certain regards. Thus, while correctly holding that the adverse interest exception is inapplicable and that MOL is responsible for the knowledge and acts of its employees, it gives insufficient consideration to facts in the record which render such analysis unnecessary. It also improperly concludes that MOL's legal counsel was not aware of the ongoing split routing and chose to let the practice continue.

²² Admittedly one junior level employee raised concerns in regard to the practice but her supervisors informed her and other staff that the practice should continue and that they should create Transportation Orders showing delivery of goods to the false location. GLL App. 132-33.

I. The Acts of Its Employees Are Attributable to MOL

As the I.D. recognizes, “[i]t is axiomatic that a corporation such as Mitsui is a legal entity that can only act through its authorized representatives.” I.D. at 59. Indeed, because a corporation can act only through its officers, agents and employees, it is necessarily chargeable with the composite knowledge of such individuals. *Sawyer v. Mid-Continental Petrol. Corp.*, 236 F.2d 518, 520 (10th Cir. 1956); *citing*, 19 C.J.S., *Corporations*, § 1081, p. 618. Any other approach would allow a corporation to always insulate itself from knowledge and avoid culpability for its actions. *See, e.g., Continental Oil Co. v. Bonanza Corp.*, 706 F.2d 1365, 1376 (5th Cir. 1983).

The Commission is, if anything, even stricter on this point than the courts, imposing a strict standard of liability on principals for the acts of their agents. In *Sea-Land Service, Inc. - - Possible Violations of the Shipping Act of 1984*, 29 S.R.R. 492 (ALJ 2002), the ocean carrier, Sea-Land, argued that the knowledge of its employees should not be attributed to it. The Administrative Law Judge rejected this argument:

Since Sea-Land sales representative and other Sea-Land employees enabled the NVOCCs to access the equipment substitution rule in an unlawful manner, the record establishes that Sea-Land through its agents and employees has permitted shippers to obtain ocean transportation at less than the applicable rates and charges by means of an unfair device or means in violation of Section 10(b)(4).

The Commission has previously addressed the question of a carrier’s responsibility for the acts of its agents. In a series of decisions beginning in 1964, the Commission imposed a standard of strict liability on principals for the acts of their agents. *Hellenic Lines Ltd. – Violations of Sections 16(First) and 17*, 7 F.M.C. 673, 676 (1964); *Unapproved FCC. 15 Agreements - - Spanish/Portuguese Trade*, 8 F.M.C. 596, 609 (1965); *Malpractices - - Brazil / United States Trade*, 15 F.M.C. 55, 59 (1971) (“Shipping Act cannot be circumvented through the medium of an agent”); *Pickup and Delivery – Puerto Rico*, 16 F.M.C. 344, 350 (F.M.C. 1973). (“Respondents cannot insulate themselves from the responsibility for the proper performance of the service by attempting to relieve themselves of accountability for their agents’ acts.”) As the Commission stated in *Spanish / Portuguese Trade, supra*:

Sound enforcement of the Shipping Act of necessity demands that those subject to its terms be held to a strict standard of accountability for the acts of agents representing them. As we make clear in *Hellenic Lines Ltd. – Violations of Sections 16(First) and 17*, 7 F.M.C. 673, 676 (1964), we cannot allow a carrier to “immunize itself from the common carrier responsibilities placed upon it by the Act by disassociating itself from any of its agent’s activities which are brought into question.”

Id. at 576-577 (citations omitted).

The full Commission affirmed the Administrative Law Judge’s decision:

The evidence demonstrates that Sea-Land had the requisite knowledge of the equipment substitution scheme at the sales representative level (e.g., Mr. Favor) and at the export sales manager and regional general manager levels (e.g., Messrs. Wing and Spargo, respectively). In addition, Sea-Land’s rate auditing and booking departments contributed, directly and indirectly, to the scheme. Accordingly, the Commission affirms the ALJ’s finding that Sea-Land violated Section 10(b)(4) of the Shipping Act of 1984 with respect to 149 shipments and that these violations were knowing and willful. These violations were achieved by unjust and unfair means . . .

Sea-Land Service, Inc. – Possible Violations of the Shipping Act of 1984, 30 S.R.R. 872, 887 (Final Decision, served Feb. 8, 2006).

A. The Adverse Interest Exception is Inapplicable

In a desperate attempt to overcome the bedrock principle of corporate law that the actions of its employees are attributable to it, MOL argues that an exception should be drawn because the split routing it engaged in was done by two, allegedly rogue, employees who were not acting in the company’s interest. This argument fails for a host of reasons. First, it ignores the obvious fact that the knowledge of and participation in the split routing practices were not limited to the purported “rogue” employees. Second, the adverse interest exception simply does not apply when, as is the case here, the actions taken were consistent with company policy. Third, the exception does not apply when the actions are taken by senior level employees who have been given broad discretion to act on behalf of the company. Fourth, it does not apply when, as here,

the actions taken were not solely on the employee's behalf and were not inimical to the interests of the company.

1. MOL's Acts and Knowledge in Regard to Global Link's Split Routing Was Not Limited to McClintock and Yang

The evidence in the record clearly demonstrates that MOL had the requisite knowledge and approval of split routings at the Vice President/General Manager, later Vice President of Sales and Sales Support for the United States, level (*e.g.*, Paul McClintock), GLL App. 11-12,; at the sales representative, subsequently Regional Sales Manager, level (*e.g.*, Rebecca Yang), GLL App. 15, Supp. App. 582; at the Operations Manager level (*e.g.*, Edward Y. ("Ted") Holt), MOL Supp. App. 002170 (Holt was Operations Manager and subsequently Manager, East Cost Terminal Services and Contracts); and Jean Flaherty (Operations Manager), GLL App. 37; and at the Operations Staff and Supervisory Operations level (*e.g.*, Lacie Bass, Barbara Perry, Kelly Johnson, Lauren Estrada, Jane Martin, Amy Sinclair, Diane Chick and Jeffrey Bumgardner), GLL App. 132-33.²³ Under Commission precedent, therefore, it is clear that the knowledge and acts of all of these employees and agents of MOL must be attributed to MOL and the adverse interest exception is inapplicable.

²³ The I.D. incorrectly concluded that MOL's General Counsel, Kevin Hartmann did not have knowledge of MOL's split routing. Global Link incorporates by reference its Reply Brief in Support of its Counterclaims at pages 33-34 on this issue. The undisputed evidence shows that in August of 2005, Ted Holt a MOL Operations Manager, wrote to Paul McClintock and Laci Bass in regard to instances where the bills of lading showed goods going to one location but the containers were going to a different place and asked whether MOL should be billing diversion charges for such split routings. GLL App. 127. In his response, McClintock indicated he would discuss the matter with Mr. Hartmann. *Id.* McClintock also testified that he was positive that the Ted Holt email discussing the widespread split routing by Global Link was forwarded to, reviewed and discussed by Mr. Hartmann. GLL App. 18-21. He was adamant on the issue. GLL App. 26 ("I can assure you there was follow up taken on that particular case.") The I.D. nevertheless disregarded that testimony, primarily based on the fact that MOL failed to produce any emails to Hartman showing such communications. Given MOL's history of failing to produce documents reflecting split routing with Nintendo (and other shippers), and its history of making false statements as to its knowledge of when it learned of split routing, *see e.g.*, GLL App. 498-529, no such inference can be drawn.

2. MOL's Split Routing Was Consistent With its Longstanding Practice

The law is clear that the adverse interest exception does not even come into consideration unless the corporate agent or employee is purportedly acting against corporate policy or the corporation's express instructions. *United States v. Sun-Diamond Growers of California*, 964 F. Supp. 486, 491 n. 10 (D.D.C. 1997). Here, the evidence, establishes that MOL had a widespread practice of engaging in split routing not only with Global Link but with at least one of its other largest customers, Nintendo, as well, and that split routing transpired from at least 2004 until 2008. GLL App. at 22-25, 32, 472-75, MOL Supp. App. 2065-66.²⁴ The evidence is also clear that neither McClintock nor Yang were involved in the Nintendo split routing. GLL App. 22-23. Under these circumstances, where the employees were simply carrying out a well-established company policy, the adverse interest exception is inapplicable.

3. Paul McClintock and Rebecca Yang Were Senior Employees with Broad Delegations of Authority

MOL's adverse interest defense also fails because, even if the overwhelming evidence to the contrary is ignored and it is assumed that only two individuals had knowledge of the ongoing split routing, the exception is inapplicable when the employee is an "executive officer, manager or superintendent whose scope of authority included supervision over the phase of the business out of which the loss or injury occurred." *Coryell v. Phipps*, 317 U.S. 406, 410 (1943). This is the case even if the corporate agent or employee is purportedly acting against corporate policy or the corporation's express instructions. *United States v. Sun-Diamond Growers of California*, 964 F. Supp. 486, 491 n. 10 (D.D.C. 1997).

²⁴ Here, Global Link sought discovery as to all split routing in which MOL had engaged. MOL refused to provide such information on relevance grounds. In the course of Paul McClintock's deposition, however, Global Link learned that MOL routinely engaged in split routing with Nintendo over the course of many years. As a result, it sought to compel discovery in that regard. Although the then Presiding Judge ordered limited discovery in regard to Nintendo, he did not require MOL to produce discovery in regard to split routing MOL conducted with other shippers. Based upon the evidence in the record in regard to Nintendo and Global Link, however, it should be presumed that MOL engaged in split routing with other large customers as well.

MOL concedes that Paul McClintock and Rebecca Yang were fully complicit in the split routing at issue. *See* MOL Reply Brief at 40 (“McClintock and Yang were collaborating with Respondents.”) There is also no legitimate dispute that these were two highly placed employees authorized to act with discretion and judgment on behalf of the company. During 2004-2006, Paul McClintock was the Vice President/General Manager of the Southeastern Region of the United States for MOL. GLL App. 11-12. As MOL concedes in its response to Global Link’s Proposed Finding of Fact, Mr. McClintock “controlled all MOL sales, customer service, trucking and equipment in this region of the United States.” There is also no dispute that up to 100 MOL employees reported to him in this capacity. *Id.* Mr. McClintock had primary oversight responsibility for Global Link. GLL App. 12.²⁵ In addition, Rebecca Yang was a sales representative who subsequently was promoted to Regional Sales Manager. GLL App. 16, 31, Supp. App. 582. Ms. Yang, who was also fully complicit in the split routing violations at issue, was the MOL’s primary contact with Global Link and handled issues with contract negotiations and rates.” GLL App. 15. Quite simply, “[i]t was Rebecca’s account.” *Id.*

Under these circumstances, where the employees’ “scope of authority included supervision” of the business,²⁶ the adverse interest exception does not apply even if the employees were purportedly acting against corporate policy. *United States v. Sun-Diamond Growers of California*, 964 F. Supp. at 491 n. 10; *Continental Baking Co. v. United States*, 281 F.2d 137, 149 (6th Cir. 1960) (well-established principle that where an agent of a corporation has broad express authority and takes acts related to his broad authority, the corporation is liable for those acts and must be deemed to have “authorized” the acts.) Indeed, the rationale for such a holding is readily apparent under the facts presented. MOL repeatedly insists that the service

²⁵ Mr. McClintock subsequently assumed responsibility for MOL sales throughout the entire United States. Paul McClintock Dep. at 32, GLL Supp. App. 584.

²⁶ *Coryell v. Phipps*, 317 U.S. at 410.

contracts were always subject to revision and all that Global Link had to do was ask. MOL Exceptions at p. 14. The evidence in the record, however, is plainly to the contrary. MOL admits that when Global Link sought to amend the service contracts so as to eliminate door points and thus put an end to split routing, Paul McClintock was the “primary contact at MOL” with whom it had to negotiate. GLL App. 438. The record further reflects that, although Global Link first sought such changes in March of 2007, as of August 2007, MOL still refused to make the changes requested by Global Link and to stop relying upon split routings. GLL App. 53-54, 437-39, 441-43; *see also*, Rosenberg Dec. at ¶ 48, CJR App. 008 (McClintock and Yang were always reluctant to negotiate new door points for GLL’s customers); James Briles Dec. at ¶ 24, 51, CJR App. 0016, 0021 (McClintock and Yang reluctant to negotiate new door points and McClintock not interested in contracting for “thousands of door points”). Thus, on several occasions when Global Link requested rates for additional door points, Ms. Yang advised Global Link to book shipments to the regional points that had already been negotiated in the service contracts, rather than to request additional points.” *Id.* at ¶ 25, CJR App. 0016. Under these circumstances, when the persons with whom Global Link interacted and negotiated its service contracts were senior executives at MOL who had knowledge of and were complicit in the Shipping Act violations at issue, such knowledge is attributable to MOL as matter of law.

4. Paul McClintock and Rebecca Yang Were Not Acting For Personal Gain

MOL’s attempts to insulate itself from the acts and knowledge of its senior employees and executives also fail because the evidence clearly establishes that Rebecca Yang and Paul McClintock were not acting for purely personal motives. The “adverse interest” exception is a very narrow one and is limited to instances in which an employee acts “from purely personal motives . . . which is in no way connected with the employer’s interests.” *Prosser and Keaton*

on Torts, Section 70 (5th ed.) 506; see also, *Cobalt Multifamily Investors, I, LLC v. Shapiro*, 857 F. Supp. 2d 419, 425 (S.D.N.Y. 2012) (adverse interest exception only applies where individual has “*totally abandoned* the corporation’s interest and is acting *entirely* for his own or another’s purposes”)²⁷; *Parmalat v. Bank of America*, 383 F.Supp.2d 587, 598 n. 54 (S.D.N.Y.2005) (adverse interest exception is a narrow one and applies only when the agent has totally abandoned the principal’s interests). In *Cobalt*, the court further recognized that the exception only applies where the corporation did not benefit at all from the employees’ actions. 857 F. Supp. 2d at 427. Thus, even if the corporate entity enjoys only short term benefits but suffers long term harm, the exception does not apply. *Id.*; see also, *Apollo Fuel Oil v. United States*, 195 F.3d 74, 77 (2d Cir. 1999) (in absence of proof that individual personally benefited from wrongful act, strong inference that action was done to benefit the corporation). Thus, the law is plain that in order for the adverse interest exception to apply, the actions of an employee must be “*inimical*” of the interest of the corporation. *United States v. Automated Medical Laboratories, Inc.*, 770 F.2d 399, 407 (4th Cir. 1985) (emphasis in original). Because no such showing can be made here, the adverse interest exception is simply inapplicable. ²⁸

Here, the evidence in the record, as recognized in the I.D., reflects that Paul McClintock and Rebecca Yang’s actions were not for their personal benefit but instead were in furtherance of MOL’s interests. The undisputed testimony shows that neither Paul McClintock nor Rebecca Yang were working on commission, so the amount of sales to Global Link did not affect their

²⁷ Emphasis in original.

²⁸ Instead, the case is analogous to *United States v. A&P Trucking, Co.*, 358 U.S. 121, 126 (1958), in which the Supreme Court addressed whether the actions of individuals in transporting explosives and other dangerous articles could be attributed to the partnership. In holding that they could, the Court emphasized that the “the business entity cannot be left free to break the law merely because its owners [and] stockholders . . . do not personally participate in the infraction. The treasury of the business may not with impunity obtain the fruits of violations which are committed knowingly by agents of the entity in the scope of their employment.” See also, *Apollo Fuel Oil v. United States*, 195 F.3d 74, 77 (2d Cir. 1999) (same).

compensation. *See* McClintock Dep. at 52, GLL Supp. App. 589. MOL does not even seriously contend that McClintock and Yang obtained a personal benefit from the split routing.²⁹

The only “evidence” that MOL relies upon to suggest that Mr. McClintock must have been acting contrary to MOL’s benefit, is testimony that discussions in regard to split routing should be kept to the “*high level management of Global Link and MOL* and we didn’t – our operation group didn’t talk about it,” Briles Dep. at 133-134, MOL App. 1226; *see also* Rosenberg Dec. ¶ 53 (McClintock and Yang encouraged Global Link to keep inter-company discussions regard split routing limited to “management-level employees” at Global Link and MOL), CJR App. 009. This, however, in no way establishes that McClintock or Yang were acting on their own behalf. Instead, it reflects a concern that MOL’s split routing was a questionable practice that should not be publicized to lower level staffers. This simply does not establish that their actions were in their own interests as opposed to those of MOL.

5. Split Routing Benefited MOL and Was not Inimical to MOL’s Interests

In contrast to the dearth of evidence that McClintock and Yang were acting on their own behalf and contrary to the interests of their principal, the evidence that they were acting for the benefit of MOL is compelling. As the I.D. appropriately recognizes, the evidence reflects that MOL received a significant benefit from split routing in the form of reducing its administrative burdens and expenses, I.D. FoF 39-40, and avoiding punitive railroad detention costs. I.D. FoF

²⁹ To the extent the testimony of Edward Feitzinger could be construed as evidence to the contrary, it is exceedingly weak. First, as previously discussed above, his testimony is speculative and is not based upon any personal knowledge. *Supra* at p. 22. Further, it does not even suggest that Paul McClintock acted solely for his personal benefit. Indeed, the best that it shows is that a person, *whose name Mr. Feitzinger does not recall*, once suggested that Global Link had helped make Paul McClintock “a success in MOL.” MOL Supp. App. 1995-96. Even if such double hearsay was sufficiently credible to be considered reliable, it is at least as consistent with McClintock doing well because of the revenue he generated for MOL from the Global Link account as it is with the notion that he was acting solely for his personal benefit and contrary to MOL’s interest. *See, e.g., United States v. Automated Medical Laboratories*, 770 F.2d 399, 407 (4th Cir. 1985) (rejecting notion that because employee was ascending the corporate ladder, he must have been acting contrary to the corporation’s interest; instead, court recognized that promotion presumably would depend upon advancing the corporation’s interests.)

41. In addition, MOL benefited by retaining Global Link as one of its largest customers and, more importantly, a unique kind of customer that allowed MOL flexibility to improve vessel utilization, which was a key way for MOL to make money. GLL Supp. App. 585-88. *See also*, supra at 25-27 for a fuller discussion of the benefits MOL gained from Global Link.

MOL asserts that the actions and knowledge of its employees should not be attributed to it because MOL purportedly would have made more money in handling shipments for Global Link if it had not engaged in split routing. This argument fails for a variety of factual and legal grounds. First, it simply ignores Mr. McClintock's testimony that trucking expenses were merely pass through costs for MOL. *See* Paul McClintock Dep. at 65, 92, GLL Supp. App. 590, 594, 696 ; *see also* Dep. at 88, GLL Supp. App. 591 ("the truck rate is what it is, so whatever that rate is, that rate is rolled into the equation for the pricing."); 264-65, GLL Supp. App. 596-97 (MOL trucking costs would have been a pass-through); 266-67, GLL Supp. App. 598-99 (split routing "did not cost the company any money"); GLL 291-92, Supp. App. 600-01 (regardless of where containers went, Global Link was paying the amount of transportation cost and MOL was being reimbursed for the amount of transportation cost in the full all-in rate).³⁰ Indeed, when explicitly asked by MOL counsel whether MOL was paying more money for the trucking movement than it really should have, the witness disagreed. "I would describe it as different...let me put it a different way. There were points in the contract covered in those situations that -- where the cargo was finally destined that should have been booked to, my opinion, but the same logic that created the rates to Johnson City from the inland from the ramps

³⁰ MOL emphasizes only half of the equation when noting instances where truckers delivered goods from a port or rail station to a location that was closer than what was reflected on the bill of lading but ignoring the thousands of instances where goods were delivered to a further point than what was reflected on the bill of lading, and Global Link paid the higher trucking charges. *See* Arbitration Panel Award at 9 (GLL App. 70) (although Global Link did not receive financial benefit from "short stopping," where truckers traveled a shorter distance to a delivery site, Global Link paid the trucker an additional amount to compensate the trucker for driving the additional distance to the actual destination.)

should be the same logic that's used to create the rate to Braselton.” *Id.* at 292, GLL Supp. App. 601. When pressed further, Mr. McClintock refused to yield under insistent questioning, refusing to accept MOL counsel's assumption that money was lost by MOL on those shipments. “[T]he same logic that was used to create – the same logic that was used to create the Braselton rate should have been used to create the Johnson City rate if they were—if they both came to the same C[ontainer] Y[ard] and originated at the same C[ontainer] Y[ard].” *Id.* at 294, GLL Supp. App. 602. Thus, he concluded that the same net result occurred as if the parties had simply negotiated a new door rate in the contact. “[I]t should be comp -- they should be comparable in net return for MOL, because it's based on the CY rate as the net return. They're not making money on the inland part of it.” *Id.* at 295, GLL Supp. App. 603.

MOL's argument also ignores the fact that the transportation industry is a competitive one and thus if, as was the case here, MOL refused to negotiate new door points,³¹ but then refused to engage in split routing, Global Link simply would have taken its business elsewhere. *See, e.g.*, Paul McClintock Dep. at 90-91, GLL Supp. App. 592-93, indicating that if rates were higher, Global Link would “have other options,” *i.e.*, the goods would “move with another company, another steamship line.” Indeed, MOL makes this very point in its submission. *See* Global Link Response *supra* at pp. 15-16 (Minck Declaration showing that split routing shipments increased exponentially when payments to truckers increased). Thus, far from proving that Paul McClintock was acting solely for his own interest and adverse to the interest of Global Link, the evidence shows that split routing was a tool that MOL used to increase the volume of business it did with Global Link.

³¹ *See* Chad Rosenberg Declaration at ¶ 48, CJR App. 008 (Mr. McClintock and Ms. Yang were always reluctant to negotiate new door points for GLL's customers); James Briles Declaration at ¶ 24, 51 (CJR App. 0016, 0021) (McClintock and Yang reluctant to negotiate new door points and Mr. McClintock was not interested in contracting for “thousands of door points”).

Finally, there is no legitimate dispute that Global Link was one of MOL's largest customers for a substantial period of time. *See* Yang Dep. at 17, (they were an important customer, "their buying was really huge") Supp. App 581. There also can be no legitimate dispute that throughout the time period when MOL shipped cargo for Global Link, MOL had procedures in place to ensure that its service contracts were profitable. Indeed, MOL had a special team that evaluated revenue generated by service contracts to maximize the yield from such contracts. *See* Declaration of Richard Craig at ¶ 2 (MOL Supp. App. 2152). Included among the tools that MOL had at its disposal in this regard was "Cost Master," which measured the costs involved in moving a container between a given origin/destination pair in order to ensure that the cargo move was profitable to MOL. *Id.* at ¶ 5 (MOL Supp. App. 2153). Although Mr. Craig points to specific instances where individual Global Link shipments might not have been as profitable as MOL would like, for example in regard to one instance where goods were moved by truck instead of rail from Fort Worth, Texas, there is no evidence that overall, MOL did not generate significant revenue as a result of its service contracts with Global Link. Indeed, it would defy logic to conclude that MOL continued to do business with a "huge customer," GLL Supp. App. 581, 585, for year after year if it was losing money on the service contracts. Under these circumstances there is simply no legitimate basis for concluding that the actions of McClintock and Yang, and the dozen or so other MOL employees who engaged in split routing with Global Link, were acting inimical to MOL's interests.

B. MOL's Argument That its Employees' Actions Were Adverse to MOL Lack Merit and Are Contrary to Well Established Law

MOL contends that the I.D. is incorrect as matter of law in relying upon Commission precedent governing apparent authority and in relying upon Second Circuit authority narrowly construing the adverse interest exception. Neither contention has merit.

1. McClintock and Yang Not Only Had Apparent Authority, They Had Actual Authority

First, MOL notes that the Respondents did not address the law governing “apparent authority” in their filings. While this is true, it does not support their position. First, MOL glosses over the fact that it was only in its Reply Brief that it decided to abandon its argument that it knew nothing of the split routing that it had engaged in with Global Link (and Nintendo) over the course of many years and decided to instead rely upon a rogue employee defense. Thus, Respondents’ ability to brief the issue was severely constrained. More importantly, however, the doctrine does not come into play when a party is dealing with a senior executive whose “scope of authority includes supervision over the phase of the business out of which the loss or injury occurred.” *Coryell v. Phipps*, 317 U.S. 406, 410 (1943); *see also, United States v. Armour Co.*, 168 F.2d 342, 343-44 (3rd Circuit 1948) (corporate employer is responsible for the acts of its assistant managers who had been authorized to act in connection with the sale of its products, even if actions contrary to stated corporate policy because corporation must “stand or fall with those whom [it] selects to act for [it].”); *United States v. Peterson*, 188 F.3d 510, 1999 WL 685917 at *12 (6th Cir. 1990) (employer responsible for actions of employee despite fact that employee was not authorized to file fraudulent cost reports and despite fact that some of the extra money ended up in the employee’s own pocket); *United States v. Automated Medical Laboratories, Inc.*, 770 F.2d 399, 407 (1985) (fact that employees actions were unlawful and contrary to company policy does not absolve company of responsibility for their acts.); *St. Johnsbury Trucking Co v. United States*, 220 F.2d 393, 398 (1st Cir. 1955) (corporation acts “knowingly” if any agent or servant of corporation has guilty knowledge, in accordance with laws governing civil liability; not enough to absolve corporation from liability that no member of

board of directors or high executives knew of wrongful act or that corporation took utmost care to prevent wrongful acts.)

In *United States v. Phelp Dodge Indus. Inc.*, 589 F. Supp. 1340 (S.D.N.Y. 1984), the court recognized that a corporation that employs an agent in a responsible position cannot then seek to insulate itself from the agent's acts by saying that the person was only authorized to act legally. *Id.* at 1359. The court reasoned that the corporation is in the best position to regulate the conduct of its management employees (senior and otherwise) and to not hold the corporation responsible for the acts of its employees "is to immunize the offender who really benefits, and open wide the door for evasions." *Id.*; see also, *In the Matter of Liability of Eastern Broadcasting Corp.*, 1967 WL 13850 (FCC 1967) (fact that the conduct may not have been "ratified, authorized, nor condoned, and, in fact, was severely condemned, and in specific disobedience of company policy," is of no consequence because the corporation is bound by the acts and knowledge of its employees.) Under this scenario, the executive does not merely have apparent authority, he clearly has actual authority.

2. The Adverse Interest Exception is Narrowly Construed

In the face of overwhelming authority to the contrary discussed above, MOL argues that the I.D. improperly relied upon *In re Bennett Funding Group, Inc.* 336 F.3d 94, 100 (2d Cir. 2003), which it suggests is unique in holding that the adverse interest exception should be narrowly construed. MOL's argument lacks merit.

The primary case MOL cites as authority for an expansive reading of the adverse interest exception is *FDIC v. Shrader & York*, 991 F.2d 216, 224 (5th Cir. 1993). MOL Exceptions at p. 43. There, however, the Fifth Circuit held that knowledge of the employee would be imputed to the corporate principal. In so holding it relied upon the Restatement (2d) of Agency and its

narrow construction of the adverse interest exception, which is only applicable if the agent acts “entirely for his own or other’s purposes.” *Id.* at 223. Indeed, the Fifth Circuit recognized that knowledge is imputed even in cases of “joint interest,” “even though the agent’s primary interest is inimical to that of the principal.” *Id.* The Fifth Circuit thus rejected the notion that the adverse interest exception applies merely upon a showing that the agent’s interest “are to any extent adverse to that of his principal.” *Id.* at 224. Instead, there the Fifth Circuit only applied the exception when there was a showing that the bank officer, embezzled from, looted, or otherwise personally profited at the expense of its principal”; *see also Askanase v Fatjo*, 130 F.3d 657, 666 (5th Cir. 1997) (adverse interest exception requires showing that agent acted entirely in his own interest; actions must be so incompatible that they destroy agency relationship).³² Thus, far from showing that the Fifth Circuit takes an expansive reading of the adverse interest exception, courts uniformly disfavor application of the exception, except in isolated instances where the evidence shows that the agent is looting the company.

The Commission has taken a similar narrow approach to the exception. In *Pacific Champion Express Co. Ltd. - Possible Violation of Section 10(b)(1) of the Shipping Act of 1984*, 28 S.R.R. 1397, 1403 (FMC 2000), the Commission rejected the adverse interest defense and instead held the corporation responsible for the knowledge and acts of its employees. In doing so, the Commission held that the corporation’s attempted reliance upon the adverse interest provision set forth in the Restatement of Agency was unfounded because the carrier had a duty

³² The 11th Circuit case which MOL relies upon for as support an expansive reading of the adverse interest exception, *Liquidation Commission of Banco Intercontinental v. Renta*, 530 F.3d 1339, 1354 (11th Cir. 2008), also does not help MOL. There the court was dealing with a RICO claim involving the diversion of millions of dollars from a bank and an agent who was engaged in self-dealing by permitting fraudulent transfers of money. Here, in contrast, the record does not contain a scintilla of evidence of self-dealing on the part of McClintock or Yang. Likewise, in *Ash v. Georgia-Pacific Corp.*, 957 F.2d 432 (7th Cir. 1992), the president of the company was stealing money from the company; clearly a case in which the employee was acting adversely to the company and the company received no benefits. As extensively discussed above, that is not the situation here. McClintock and Yang were not stealing money from MOL and MOL received clear benefits from the Global Link business.

that ran to both its shippers and the general public, and insulating corporations from their actions was contrary to that duty. *Id.* at 1403. Such a conclusion was particularly warranted where the corporation had broadly delegated authority to its agent and then failed to properly monitor the agent's action. *Id.* Thus, the Commission concluded that the respondent's lack of diligent inquiry over a period of years precluded it from asserting that its agent's actions were not its own. *Id.* at 1404. An identical conclusion is warranted here. As the I.D. appropriately recognized, where MOL chose to place McClintock and Yang in positions of authority, it was responsible for their acts -- and parties dealing with them were entitled to believe that they were acting on behalf of the company. I.D. at 59-60.

3. The Decision in *Seamaster* is Inapposite and Does Not Support MOL's Position

In the face of overwhelming authority that a corporation is responsible for the acts of its employees, MOL relies upon a district court's decision in *Mitsui O.S.K. Lines, Ltd. v. Seamaster Logistics, Inc.*, 2013 U.S. Dist. LEXIS 40466 (N.D.Cal. 2013) as justifying its assertion that MOL should be insulated from the consequences of its own wrongful conduct. Such reliance is misplaced.

Seamaster involved MOL's allegations of RICO and Shipping Act violations for claims arising out of actions taken in China, and, separately, for split routing similar to that alleged in this proceeding in the United States. The court found that MOL had stated a claim for the actions taken in China, but had not proved a Shipping Act violation in regard to the split routing in the United States. *Id.* at *15. In doing so, the district court judge ruled that the adverse interest exception should apply to the Chinese shipments because the MOL China employee had totally abandoned the interest of MOL in promoting the scheme at issue, which allowed for the

siphoning of money from MOL to a third party trucker in which the employee apparently had a financial interest. *Id.* at *35, 80.

The facts here are readily distinguishable from those presented in *Seamaster* because there, unlike here, there was no evidence presented that other MOL employees were aware of the unlawful activities. *Id.* at *80. Further, unlike the evidence now before the Commission, there was no evidence in *Seamaster* that MOL benefited from the wrongful acts at issue. Indeed, the court there found that MOL received no benefit from the wrongful act because the shipper had no viable alternative to MOL as a carrier. (“Thus, the Shenzhen door arrangement caused MOL to give away a valuable service- space protection – for free. It also allowed Defendant to avoid paying the higher origin receiving charges that MOL assessed at Hong Kong ports.” *Id.* at *80-81.) In sharp contrast, in this Proceeding, as the I.D. recognized, there is compelling evidence that MOL received a substantial benefit from the split routing in the form of reduced administrative burdens and costs, and reduced exposure to punitive detention charges, and increased business with Global Link. I.D. at -. Further the evidence reflects that the split routing was necessary to make MOL competitive on rates. GLL Supp. App. 592-93. Finally, here there is no evidence whatsoever that McClintock or Yang gained any personal benefit from the wrongful acts at issue, as opposed to the evidence in *Seamaster* suggesting that the MOL employee siphoned money to a trucker in which he may have had a financial interest. *Id.* at 35.

To the extent the *Seamaster* court held that it is irrelevant whether or not other MOL personnel were aware of and participated in the arrangement because all of their actions would then have been adverse to MOL, the Court’s holding is simply wrong. *Id.* at * 83-84. Such a holding turns on its head the well-established precedent that a corporation is bound by the acts of its employees. If the *Seamaster* logic were adopted, corporations would become a haven for

scofflaws and ne'er do wells of every stripe as corporations could uniformly avoid liability for any of their criminal or tortious acts simply by arguing that its employees, no matter how senior and no matter how broadly delegated their authority, were not acting on behalf of the corporate entity.³³

C. A Party Cannot Engage in Fraud and then Obtain a Windfall for its Own Fraudulent Conduct.

MOL baldly asserts that a carrier can recover for fraud even if the carrier knows it is occurring. *See* MOL Exceptions at 35. While an innocent third party who is harmed by fraud may be able to assert a claim, the notion that a party can knowingly engage in fraud and then sue to recover based upon its own fraudulent actions is ludicrous.

It is axiomatic that a party alleging fraud must establish that it was deceived by the practices at issue. Indeed, federal courts construing claims alleging fraud, such as is alleged here, uniformly recognize that among the elements necessary to support such a claim are the plaintiff's ignorance as to the truth of the fraudulent representation, and proximate injury as result of such reliance. *See, e.g., Tetrev v. Pride International, Inc.*, 444 F.Supp.2d 524, 530, n. 4 (D.S.C. 2006); *see also International Designer Transitions Inc. v. Faus Group, Inc.*, 663 F. Supp.2d 432, 442 (M.D.N.C. 2009) (fraud requires showing of false representation or concealment of a material fact, "which does in fact deceive . . . resulting in damage to the injured party."); *Su v. Aster*, 978 F.2d 462, 473 (9th Cir. 1992) (failure to show reliance upon misrepresentation defeats fraud claim.). The law is the same in regard to fraud alleged under the Shipping Act. *See, e.g., Mitsui O.S.K. Lines Ltd. v. Global Link Logistics Inc.*, Docket No. 09-01, 2011 WL 714008 (FMC 2011) at *46 (Commissioner Khouri, concurring in part and

³³ The California court also recognized that MOL could recover despite the fact that a "reasonable investigation" would have revealed the wrongful acts at issue. *Id.* at * 84. While that arguably is the case under California law, it is contrary to Commission authority which holds that "diligent inquiry" is required in order to comply with Shipping Act requirements. *Pacific Champion Express Co.*, 28 S.R.R. at 1403.

dissenting in part) (elements of fraud require reliance upon misrepresentation or concealment; fact that split routing was “open, known, acknowledged, endorsed and encouraged by Mitsui” defeats Section 10(a)(1) allegation).

MOL relies on *Hohenberg Brothers Company v. Federal Maritime Commission*, 316 F.2d 381 (D.C. Cir. 1964) for the proposition that a violation of Section 10(a)(1) can be supported, even if the carrier was a participant in the violation, when the shipper’s competitors were unaware of the scheme because, as stated in *Prince Line v. American Paper Export*, 55 F.2d 1053, 1055 (2d Cir. 1932), they were entitled to “equality of treatment” under the Shipping Act.

Those cases, however, were decided long before the Shipping Act was amended in 1998 to (a) provide for confidential service contracts, 46 U.S.C. §40502(b)(1); and (b) eliminate, with respect to service contract shipments, the prohibitions against discrimination, preferences and prejudices, *see* 46 U.S.C. §§41104(5),(9), upon which that “equality of treatment” depended. Since those amendments, a Section 10(a)(1) violation cannot be based on hiding a deal between the carrier and a shipper from the shipper’s competitors because those competitors no longer have any rights to either know about, or have access to, equivalent deals.

Thus, post-1998, unless the carrier itself is defrauded in some way, there can be no Section 10(a)(1) violation. *See also, United States v. Open Bulk Carriers*, 727 F.2d 1061, 1064 (11th Cir. 1984) (undisputed that fraud or concealment is necessary ingredient of unjust or unfair device); *Ambler v. Bloedel Donovan Lumber Mills*, 68 F.2d 268 (9th Cir. 1933)(no violation of Section 16 where there has been no concealment). Moreover, there is nothing whatsoever in the record of this proceeding indicating that Global Link had any competitors in the relevant trades, or that any “competitor” of Global Link was defrauded by the split routing. In sum, because

MOL was, in fact, fully knowledgeable about, and complicit in, the split routing, it cannot claim reparations from Global Link for that same activity.

Having deliberately violated the Shipping Act in order to avoid significant administrative burdens and expenses involved in handling the inland transportation of the goods to the door point, to avoid punitive railroad detention charges and in order to maintain Global Link as one of its largest and most valuable customers, MOL has now decided, years later, to go back and seek to recover not only for “*all the back diversion charges*” that they have known about all along, but also to seek to recover the inflated charges associated with shipping to locations where they did not have competitive rates. Such an effort should not be condoned.³⁴

D. MOL’s Expansive Reading of the Adverse Interest Exception Would Render the Shipping Act a Farce

The policy issues the Commission must confront here are straightforward. Can corporate entities knowingly engage in widespread Shipping Act violations and then insulate themselves from liability by arguing that their senior executives are not acting on behalf of the company? The second, related policy question is whether a company can knowingly engage in Shipping Act violations and then subsequently have the Commission award it a windfall based upon those very actions.³⁵ Because the answer to both of those questions must be no, the I.D. must be affirmed.

MOL asks the Commission to abandon its longstanding policy of holding principals strictly liable for the actions of their agents. *See, e.g., Unapproved Sec. 15 Agreements -- panish/Portuguese Trade*, 8 F.M.C. 596, 609 (1965) (“Sound enforcement of the Shipping Act of

³⁴ Nor can MOL rely on the filed rate doctrine to collect these charges. As the evidence conclusively demonstrates, MOL was fully cognizant of, and complicit in, the split routing practices. Its invoices to Global Link for the charges to the destinations shown on MOL’s bills of lading are reflections of this agreement. Pursuant to 46 U.S.C. §41109(d), therefore, Global Link cannot be ordered to pay the difference between those agreed rates and the amounts set forth in the MOL service contracts.

³⁵ The I.D. answered this question, stating what would seem to a self-evident point, ‘there would have been no fraud if the carrier knew what was going on.’ *Id.* at p. 60. Incredibly MOL argues to the contrary.

necessity demands that those subject to its terms be held to a strict standard of accountability for the acts of agents representing them.”) Such a reversal would render the Shipping Act, and the penalties provided for therein, meaningless for corporate entities. Indeed, adoption of such a rule would mean that the adverse interest exception would swallow the rule, thereby negating the principle that corporations are responsible for the acts of their employees. Because that cannot be the Commission’s position, the I.D. must be affirmed.³⁶

Conclusion

Since MOL has -- belatedly -- recognized and agreed that Paul McClintock and Rebecca Yang knew about, participated in, and encouraged the split routing practices at issue, this case boils down to a decision as to whether the adverse interest exception to the normal rule that a corporation is responsible for the actions of its employees should absolve MOL. The adverse interest exception upon which MOL relies however, is inapplicable given the indisputable evidence establishing that: 1) MOL has a longstanding policy of engaging in split routing, not only with Global Link but with other large shippers such as Nintendo; 2) Paul McClintock and Rebecca Yang were given broad authority by MOL to handle MOL’s business with Global Link; 3) McClintock and Yang gained no personal benefit from the split routing; 4) numerous other MOL employees were on notice of the split routing; and 5) MOL profited as result of that business. Under those circumstances, the knowledge and acts of McClintock and Yang in encouraging and supporting split routing must be attributed to MOL. Any other result would encourage carriers to collude in violating the Shipping Act and then to seek a windfall as a result of their own deceptive practices.

³⁶ MOL seeks oral argument on its Exceptions. Given the overwhelming amount of evidence, much of which consists of contemporaneous documents, establishing that MOL was fully knowledgeable and complicit in split routing, there is no such need. This conclusion is particularly warranted given that Respondents have already incurred hundreds of thousands of dollars in legal fees defending an action which MOL’s own files confirmed was baseless.

Respectfully Submitted,



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DATE: August 22, 2013

CERTIFICATE OF SERVICE

I do hereby certify that I have delivered a true and correct copy of the foregoing document to the following addressees at the addresses stated by depositing same in the United States mail, first class postage prepaid, and/or via email transmission, this 22nd day of August, 2013:

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